IN THE NATIONAL COMPANY LAW TRIBUNAL, DIVISION BENCH - I, CHENNAI

CP(CAA)/40/(CHE)/2021
In
CA(CAA)/11/(CHE)/2021

Under Sections 230 to 232 of the Companies Act, 2013

In the matter of *Scheme of Amalgamation*

Between

M/s. ELECTRALLOY SPECIAL STEEL CASTINGS PRIVATE LIMITED
CIN NO: U27101TN1979PTC008034
1C, Prince Apartments, 59, Ormes Road,
Kilpauk, Chennai – 600 010

...Petitioner / Transferor Company

And

M/s. AMSTEEL CASTINGS PRIVATE LIMITED
CIN:-U27310TN1993PTC024444
1C, Prince Apartments, 59, Ormes Road,
Kilpauk, Chennai – 600 010

...Petitioner / Transferee Company

And

THEIR RESPECTIVE SHAREHOLDERS

Order Pronounced on ***6th April 2022***

CORAM

R. SUCHARITHA, MEMBER (JUDICIAL)
SAMEER KAKAR, MEMBER (TECHNICAL)

For Applicant(s): Pawan Jhabakh, Advocate
For OL : B. Palani, Authorized Representative

ORDER

***Per:*SAMEER KAKAR, MEMBER (TECHNICAL)**

The hearing of this Petition has been conducted through video conferencing platform.

2. **M/s. ELECTRALLOY SPECIAL STEEL CASTINGS PRIVATE LIMITED** (for brevity *"Transferor Company"*), and **M/s. AMSTEEL CASTINGS PRIVATE LIMITED** (for brevity *"Transferee Company"*)in their Board of Directors meeting held on 21st December 2020 have accorded their approval for Scheme of Amalgamation *(hereinafter referred to as "Scheme")*as contemplated between the Petitioner companies The Scheme is annexed as Annexure 'A8' to the typed set filed along with the Petitions.

3. **1ST MOTION APPLICATION – IN BRIEF**

3.1. The Transferor & Transferee Companies have filed the First Motion Application vide CA(CAA)/11/CHE/2021seeking directions for dispensing with the meeting of the Equity Shareholders and Unsecured Creditors of the *Transferor and Transferee Companies*. It was represented that there was no Secured Creditors in respect of the *Transferor and Transferee Companies* Based on such application moved under Sections 230-232 of the Companies Act, 2013; directions were issued by this Tribunal, vide order dated 15.07.2021, wherein all the

meetings of the Equity Shareholders and Unsecured Creditors of the *Transferor and Transferee Companies* were dispensed with and the Applicant Companies were directed to present the Company Petition within 7 days from the date of receipt of the order. Subsequently the second motion petition was filed before this Tribunal by the petitioner companies on 23.07.2021for sanction of the Scheme of Amalgamation by this Tribunal.

4. RATIONALE OF THE SCHEME

4.1. The Rationale and benefits of the Scheme as submitted by the Learned Authorized Representative for the Petitioner Companies would *inter alia* result in the following benefit;

a. The amalgamation will enable consolidation of the business of the two entities into one entity which will facilitate focused growth, operational efficiency, integration synergies and better supervision of the proposed business of the group.

b. The amalgamation will enable pooling of resources of the Transferor Company with the resources of the Transferee Company to their advantage, resulting in more productive utilization of said resources and cost and operational efficiency which would be beneficial to all stakeholders.

c. The amalgamation would facilitate sealing up of operations, reduce administrative costs and garner visibility in the market.

d. The amalgamation would reduce shareholding layers and enable the shareholders of the Transferee Company to have direct control of the assets / business of the Transferor Company.

e. The amalgamation will also enable smoother implementation of policy changes at a higher level from a management perspective and shall also help enhances the efficiency and control of the entities. There is no likelihood that interest of any shareholder or creditor of either the Transferor Company or the Transferee Company would be prejudiced as a result of the Scheme. The Amalgamation will not impose any additional burden on the members of the Transferor Company or the Transferee Company.

5. In the second motion application filed by the Petitioner Companies, this Tribunal vide order dated 01.09.2021 directed the Petitioner Companies to issue notice to the Statutory / Regulatory Authorities viz. (i) Regional Director (Southern Region), (ii) RoC, Chennai, (iii) the Income Tax Department, (iv) Official Liquidator and other sectoral regulators, who may govern the working of the respective companies, as well as for paper publication to be made in "Business Standard", English (All India Edition) and "Dina Mani" Tamil (Tamil Nadu Edition).

6. In compliance with the said directions issued by this Tribunal, the Petitioner Companies have filed an affidavit of service in relation to the compliance of the order passed by the Tribunal as noted above and a perusal of the same discloses that the Petitioner

Companies have effected paper publication as directed by the Tribunal in one issue of "Business Standard" (All India Edition) in English and "Dina Mani" (Tamil Nadu Edition) in Tamil on 20.09.2021. It is also seen that notices have been also served to (i) The Regional Director, Southern Region, Chennai on 20.09.2021, (ii) Registrar of Companies Chennai on 20.09.2021, (iii) Income Tax Department on 20.09.2021, (iv) Official Liquidator on 20.09.2021and the proof of the same by way of affidavits have been enclosed with the typed set filed along with the Petitions. Pursuant to the service of notice of the petition the following statutory authorities have responded as follows;

7. STATUTORY AUTHORITIES

7.1. REGIONAL DIRECTOR

The Regional Director, *(hereinafter referred to as 'RD')* Chennai to whom the notice was issued has filed his Report before this Tribunal and has stated that Clause 6 of Part II of the Scheme provides for the protection of the interest of the employees of the Transferor Company. It was further observed that as per the report of RoC, Chennai, the Transferor and Transferee Companies are regular in filing their statutory returns and has reported that there is no

prosecution / Inspection or Investigation is pending against the Companies.

7.2. Further at para 10, the RD has observed that Clause 10 of Part II of the Scheme has stated that the authorized capital of the Transferor Company will be merged with the authorized capital of the Transferee Company and in the said circumstances sought for a direction to the Transferee Company to file the amended MoA and AoA with the RoC, Chennai for its record. Apart from the above, the Regional Director has not made any objection to the Scheme.

7.3. **OFFICIAL LIQUIDATOR**

In relation to the Official Liquidator, *(hereinafter referred to as 'OL')*to whom the notice was issued has filed the Report before this Tribunal on 15.07.2021 and has stated that they have appointed M/s. Srihari & Co., Chartered Accountants from the panel maintained by their office to verify into the affairs of the Transferor Companies. The Chartered Accountants in their report submitted before the Official Liquidator have observed as follows;

- The Company is maintaining proper books of accounts as per the requirements of the Companies Act and have maintained and written

up in accordance with normally accepted principles.

- All entries have been made in the statutory registers in accordance with the requirements of the Companies Act, 2013 as prescribed under the Act, and no discrepancies were noted.

- The Company has no liability with respect to Employees Provident Fund and Employees State Insurance Contribution.

- It is also observed from the Registers maintained at Registrar of Companies office that the company has filed all the returns and no case were pending against the companies or any of its Directors / Officers.

- The Company has not accepted deposits from the public. Hence the question of commenting on compliance of the directions of the Reserve Bank of India, Company Law Board relating to deposits does not arise.

- The Company is regular in filing Income Tax returns and no case was pending against the Companies and there are no tax arrears.

- The Company has no unpaid or unclaimed dividend and hence the question of commenting

on compliance of Section 123 of the Companies Act, 2013 does not arise.

7.4. From the above observations made by the Chartered Accountant, the Official Liquidator sought to take on record and consider the report of the Chartered Accountant and has also sought to fix the remuneration payable to the Auditor who has investigated into the affairs of Transferor Company. In this regard, this Tribunal hereby directs the Transferor Company to pay a sum of **Rs.50,000** (Rupees Fifty Thousand) to the Official Liquidator for the payment of fees payable towards the Auditor who has investigated into the affairs of the Transferor Company.

7.5. **OTHER STATUTORY AUTHORITIES**

In relation to the other statutory authorities to whom notices have been issued, neither they have filed any reply nor raised any objections to the Scheme and in the circumstances, this Tribunal presumes that other statutory Department viz. the Income Tax Department, does not have any objection to the sanction of the Scheme.

8. **VALUATION REPORT**

8.1. The Learned Authorized Representative for the Petitioner Companies invited the attention of this Tribunal to the Valuation Report obtained from Subramaniam Annetha, Registered Valuer dated 20.12.2020, wherein it has been recommended by the Independent Valuer as follows;

> *Based on the independent value of ACPL equity shares of Rs.68.360 per share and ESSCPL equity shares value of Rs.1,85,271 per share the exchange ratio shall be accordingly 2.7764. This exchange ratio can be rounded of to 2.80 for operational convenience. It would mean a shareholder holding ten (10) equity share in ESSCPL shall be issued twenty-eight (28) equity shares of ACPL.*

9. **ACCOUNTING TREATMENT**

9.1. The Learned Counsel for the Petitioner Companies have stated that the Statutory Auditors of the Petitioner Companies have examined the Scheme and has certified that the Petitioner Companies have complied with proviso to Section 230 (7) / Section 232 (3) and the Accounting Treatment contained in the proposed Scheme of Arrangement is in compliance with the Applicable Indian Accounting Standards. The Certificates issued by the Statutory Auditors certifying the Accounting Treatment of the Petitioner Companies are commonly placed as 'Annexure – A10 and A11' in the typed set filed along with the Petitions.

10. OBSERVATIONS OF THIS TRIBUNAL

10.1. After analyzing the Scheme in detail, this Tribunal is of the considered view that the scheme as contemplated amongst the petitioner companies seems to be *prima facie* beneficial to the Company and will not be in any way detrimental to the interest of the shareholders of the Company. In view of the absence of any other objections having been placed on record before this Tribunal and since all the requisite statutory compliances having been fulfilled, this Tribunal sanctions the Scheme of Arrangement appended as Annexure "F" with the Company Petition as well as the prayer made therein.

10.2. The Learned Authorized Representative for the Petitioner companies submitted that no investigation proceedings are pending against the Transferor or Transferee Companies under the provisions of the Companies Act, 1956 or the Companies Act, 2013 and no proceedings against the petitioner companies for oppression or mismanagement have been filed before this Tribunal or erstwhile Company Law Board.

10.3. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this Tribunal will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the petitioners.

10.4. While approving the Scheme as above, it is clarified that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges, if any, payment is due or required in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

11. **THIS TRIBUNAL DO FURTHER ORDER:**

(i) That all properties, right and interest of the Transferor Company shall, pursuant to section 232(3) of the Companies Act,2013 without further act or deed be transferred to and vest in or be deemed to have been transferred and vested in the Transferee Company.

(ii) That all the liabilities, powers, engagements, obligations and duties of the Transferor Company shall pursuant to Section 232(3) of the Companies Act,2013 without further act or deed be transferred to the

Transferee Company and accordingly the same become the liabilities and duties of the Transferee Company.

(iii) That the Appointed date for the Scheme shall be **1st April 2020** as specified in the Scheme.

(iv) That all proceedings now pending by or against the Transferor Company be continued by or against the Transferee Company.

(v) That all the employees of the Transferor Company in service on date immediately preceding the date on which the Scheme finally takes effect shall become the employees of the Transferee Company without any break or interruption in their service.

(vi) That the Transferee Company do without further application allot to such members of the Transferor Company, as have not given such notice of dissent, as is required by Clause 9.1 of the SCHEME herein the shares in the Transferee Company to which they are entitled under the said SCHEME.

(vii) That the Transferee Company shall file the revised Memorandum and Articles of Association with the Registrar of Companies, Chennai and further make the requisite payments of the differential fee (if any) for the enhancement of authorized capital of the Transferee Company after setting off the fees paid by the Transferor Company.

(viii) That the Transferor Company and the Transferee Company, shall within thirty days of the date of receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the Transferor Company shall be dissolved and the Registrar of Companies shall place all documents relating to the Transferor Company registered with him on the file kept by him in relation to all the Transferee Company and the files relating to both the said companies shall be consolidated accordingly.

(ix) That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

12. Accordingly, the Company Petition stands **allowed** on the aforementioned terms.

-Sd-
SAMEER KAKAR
MEMBER (TECHNICAL)

-Sd-
R. SUCHARITHA
MEMBER (JUDICIAL)

Raymond